Is Investing For the Long Term Theory or Just Mumbo-Jumbo?

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What do we mean by "investing for the long term"? The aim of this paper is to demonstrate that "long term" is in the eye of the beholder.

For those investors infested with quarterly measurements, a year can be the long run and five years is just about the outer limit. For enthusiasts of the Dividend Discount model, the long run is the indefinite future. Most of us fall somewhere in between. Yet each of us will define the long run with a different time span in mind, which means that yours will be appropriate for me only by coincidence. But no matter how we figure it, there is more to the long run than shutting your eyes and hoping that some great tidal force will bring your ships home safe, sound, and laden with just the right merchandise for the occasion.

I am going to approach the issue from two different viewpoints. First, we shall explore whether there really is such a thing as long run. Second, assuming that we can identify and define the long run, I shall try to demonstrate that moving from the short run to the long run transforms the investment process in ways that are far more profound than most people realize.